



Life Assurance Sector Report

For the Year Ended
31 December 2022

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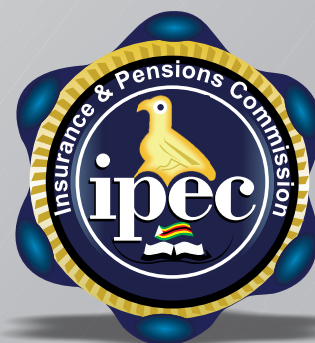
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- iv. Please Note: All Monetary Figures are in ZW\$ except stated otherwise.
- v. All ZW\$ amounts are expressed in nominal terms, except where specifically stated to be in real terms.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA Insurance Act (Chapter 24:07)	Prescribed Assets as defined by the
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP Programme	Zimbabwe Integrated Capital and Risk



1. Executive Summary

- 1.1 For the fourth quarter ended 31 December 2022, the Life Assurance Sector was made up of 12 direct Life Assurance companies, four (4) Life Reassurance companies and 1,342 life agents.
- 1.2 Of the 12 registered Life Assurance companies, only Heritage Life Assurance Company failed to submit its return.
- 1.3 For the year ended 31 December 2022, the Life Assurance Sector reported Gross Premium Written (GPW) of ZW\$60.8 billion, a nominal increase of 286% from ZW\$16.5 billion reported in the comparative period in 2021. The sector experienced inflation- adjusted growth in GPW of 7%.
- 1.4 Growth in GPW was mainly attributable to premium adjustments in line with rising inflation. The two classes which contributed to the significant increase are Funeral Assurance and Group Life Assurance business.
- 1.5 GPW for life reassurers grew by 285% in nominal terms, from ZW\$589.2 million reported for the year ended 31 December 2021 to ZW\$2.3 billion for the year ended 31 December 2022.
- 1.6 After adjusting for inflation, the GPW for Life Reassurers increased by 12% from ZW\$589.1 million to ZW\$660.6 million during the review period.
- 1.7 The Life Assurance Sector reported Foreign Currency business amounting to US\$23.2 million. Funeral Assurance business was the major contributor with one entity writing 50% of the business.
- 1.8 Life Reassurance sector reported Foreign Currency business amounting to US\$2.5 million for the year ended 31 December 2022.
- 1.9 All the 11 Life Assurance companies who submitted their returns and all four (4) Life Reassurance companies reported capital positions that were compliant with the prescribed Minimum Capital Requirements (MCR) of ZW\$75 million and ZW\$112.5 million under SI 95 of 2017, respectively as at 31 December 2022. Effective 1 January 2023, all entities will be required to assess capital positions using ZICARP, a risk-based solvency assessment regime.
- 1.10 Direct Life Assurers reported 28% nominal growth in total assets from ZW\$214.6billion as at 30 September 2022 to ZW\$274.8billion as at 31 December 2022. The growth was mainly attributed to revaluation gains, derived from investment properties and investments in gold coins.
- 1.11 The asset base for composite Reassurers grew by 24% from ZW\$8.5 billion as at 30 September 2022 to ZW\$10.5 billion as at 31 December 2022.
- 1.12 As at 31 December 2022, the average prescribed asset ratio for Life Assurers and Life Reassurers stood at 11.25% and 10.98%, respectively.
- 1.13 Four (4) entities comprising three direct Life Assurers and one Life Reassurer were compliant with the minimum prescribed asset ratio of 15%.

- 1.14 For the year ended 31 December 2022, the Life Assurance Sector reported a nominal profit after tax of negative ZW\$276.6 billion, representing a 969% decrease from ZW\$31.7 billion reported for the comparative period in 2021.
- 1.15 Profit after tax for Life Reassurers increased by 250% from ZW\$950.6 million reported for the year ended 31 December 2021 to ZW\$3.3 billion for the year ended 31 December 2022.
- 1.16 The increase in profit after tax for Life Reassurers was mainly attributable to high investment returns from revaluation gains on investment properties whilst the decrease in the profit after tax for Life Assurers was due to the increase in underwriting losses, mainly driven by transfers to provisions for investment contracts which stood at ZW350.03 billion.

Table 1: Summary of Key Financial Indicators for Life Assurers.

	Life Assurance			
Financial Aspect (ZW\$000)	Dec-21	Dec-22	Sept- 22 inflation-adjusted	Growth Inflation-adjusted
GWP	16,496,746	60,758,099	17,672,513	7%
NWP	16,106,074	59,022,081	17,167,563	7%
Claims	6,242,971	19,781,374	5,753,745	-8%
Management Operating Expenses	3,848,557	407,684,402	118,581,850	2981%
Commissions	1,048,695	3,626,456	1,054,816	1%
Technical Costs	5,076,691	431,092,232	125,390,411	2370%
Profit after Tax	31,704,999	-276,623,890	-80,460,701	-354%
Financial Aspect	Sep-22	Dec-22	Growth (%)	
Total Assets	214,556,875	274,750,738	28%	
Total Liabilities	113,825,705	146,428,663	29%	
Capital	100,731,170	128,322,076	27%	
Capital to Liability Ratio	88%	88%	-1%	
Prescribed Assets	17,611,710	26,562,056	48%	
PA Ratio (%)	8.21%	11.47%	37.07%	

Table 2 : Summary of Key Financial Indicators for Life Reassurers.

	Life Reassurance			
Financial Aspect (ZW\$000)	Dec-21	Dec-22	Sept- 22 inflation-adjusted	Growth Inflation-adjusted
GWP	589,151	2,271,125	660,595	12%
NWP	471,721	1,945,177	565,787	20%
Claims	234,490	477,170	138,793	-41%
Management Operating Expenses	51,165	321,790	93,598	83%
Commissions	91,610	419,776	122,099	33%
Technical Costs	73,762	1,218,735	354,490	381%
Profit after Tax	950,551	3,328,404	968,122	2%
Financial Aspect	Sep-22	Dec-22	Growth (%)	
Total Assets	8,528,060	10,528,366	23%	
Total Liabilities	4,138,378	5,078,661	23%	
Capital	4,389,682	5,449,705	24%	
Capital to Liability Ratio	106%	107%	1%	
Prescribed Assets	571,119	1,153,004	102%	
PA Ratio (%)	6.70%	10.98%	105.70%	

2 The Insurance and Pensions Commission at Glance

2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This report outlines industry developments and IPEC's various activities in the insurance sector, consistent with its statutory mandate for the quarter ended 31 December 2022.

3 Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24:32]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

4 Regulatory Developments

4.1 Circulars and Statutory Instruments

The Commission issued the following Statutory Instruments and Circulars to the Insurance Industry during 2022 as shown below.

Statutory Instruments and Circulars issued in 2022

Statutory Instrument (S.I.)	Date Gazetted	Purpose
S.I. 45 of 2022	18 March 2022	Revision of fees payable to the Commission.
S.I. 46 of 2022	18 March 2022	Revision of levies payable to the Commission.
Circular	Date of Issue	Purpose
Circular 3 of 2022	7 February 2022	2022 Global Money Week Activities.
Circular 4 of 2022	3 February 2022	International Financial Reporting Standard (IFRS) 17 Training.
Circular 5 of 2022	7 February 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Pillar 1 31 December 2021 reporting.
Circular 8 of 2022	14 February 2022	Financial Intelligence Unit Directive on revised thresholds for cash transaction reports, electronic funds transfers, and international funds transfers.
Circular 9 of 2022	15 February 2022	Appointment of Beacon Actuarial Services to Develop Mortality tables for the Zimbabwean Insurance and Pensions industry.
Circular 10 of 2022	4 March 2022	Guidance Paper implementation: Clarification on the roles of Fund Administrators, Actuaries, Accountants and Asset Managers.
Circular 12 of 2022	29 March 2022	Registration requirements for Individual Agents.
Circular 13 of 2022	18 March 2022	Notification of Publication of the Insurance and

		Pensions (Levy) Regulations, 2022 and Insurance (Amendment) Regulations, 2022.
Circular 14 of 2022	29 March 2022	Amendment to the Directive on Governance and Risk Management for Insurance Companies.
Circular 15 of 2022	24 March 2022	Zimbabwe Integrating Capital and Risk Programme (ZICARP) Training Way Forward.
Circular 16 of 2022	23 March 2022	Registration of Insurance and Pensions industry players on go AML.
Circular 17 of 2022	28 March 2022	Mortality Tables Development Project-Industry Workshop.
Circular 20 of 2022	03 May 2022	Mortality Tables Development Project-Request for data.
Circular 21 of 2022	09 May 2022	Call for inputs-Insurance and Pensions Industry response paper to policy measures to restore confidence, preserve value and restore macro-economic stability-President's speech (07 May 2022)
Circular 22 of 2022	12 May 2022	Presentation of Mock Own Risk and Solvency Assessment (ORSA) results.
Circular 26 of 2022	15 June 2022	Request for the Insurance and Pensions Industry's input into the 2022 mid-term national budget review.
Circular 29 of 2022	15 July 2022	Invitation to the industry engagement workshop on the pre-2009 loss of value (2009 Compensation) Regulations and Modalities.
Circular 31 of 2022	25 July 2022	Request for Industry Comments on Draft Pre-2009 Compensation Regulations.

Circular 35 of 2022		Sponsorship Request for the Inaugural Insurance and Pension Industry Awards.
Circular 37 of 2022	25 August 2022	Guidance Paper implementation: Waiving of Peer Review Requirements and June Valuations.
Circular 38 of 2022	14 September 2022	Request for Insurance and Pensions Industry's Inputs into 2023 National Budget.
Circular 39 of 2022	19 September 2022	Gold Coin Investment by the Insurance and Pensions Industry.
Circular 42 of 2022	12 October 2022	Review of Minimum Capital Requirements (MCR) for the Insurance Industry.
Circular 44 of 2022	24 October 2022	Nairobi Declaration on Sustainable Insurance.
Circular 45 of 2022	25 October 2022	Review of guidelines on insurance products for Life, Funeral Assurance and Non-Life Insurance Companies.
Circular 46 of 2022	06 December 2022	Early Adoption of the IFRS Sustainability Disclosure Standards Issued by the International Sustainability Standards Board (ISSB).

4.2 IFRS 17

4.2.1 The Commission implores life assurance players to implement the IFRS 17 Standard which is effective from 1 January 2023.

4.2.2 Players should take the IFRS 17 Standard seriously and deploy the required resources to ensure that their financial statements are compliant starting from the first reporting date.

5 Economic Overview

5.1 Global and Regional Economic Outlook

The Global Economic outlook is expected to be weighed down by elevated inflationary pressures, tightening global financial conditions associated with high interest rate hikes by most Central Banks, and continued negative spill-over effects from Geopolitical tensions. Furthermore, the turmoil of new waves of the COVID-19 pandemic continues to disrupt economic activity in some countries.

The global growth is projected to moderate to 2.7% in 2023 from 3.2% as indicated in table 1 below, marking the weakest growth profile since 2001, outside the 2009 global financial crisis and the acute phase of the Covid-19 pandemic.

Table 3: World Economic Outlook Projections

	2022	2023	2024
World Output	3.2	2.7	3.4
Advanced Economies	2.4	1.1	1.7
USA	1.6	1.0	1.4
Euro Area	3.1	0.5	2.1
Emerging Markets and Developing Economies	3.7	3.7	4.6
China	3.2	4.4	5.1
Sub-Saharan Africa	3.6	3.7	4.2
Nigeria	3.2	3.0	2.9
South Africa	2.1	1.1	1.6
Zimbabwe	4.0	3.8	4.8

Source: January 2023 World Economic Outlook Update, IMF Projections

5.2 Domestic Economic Outlook

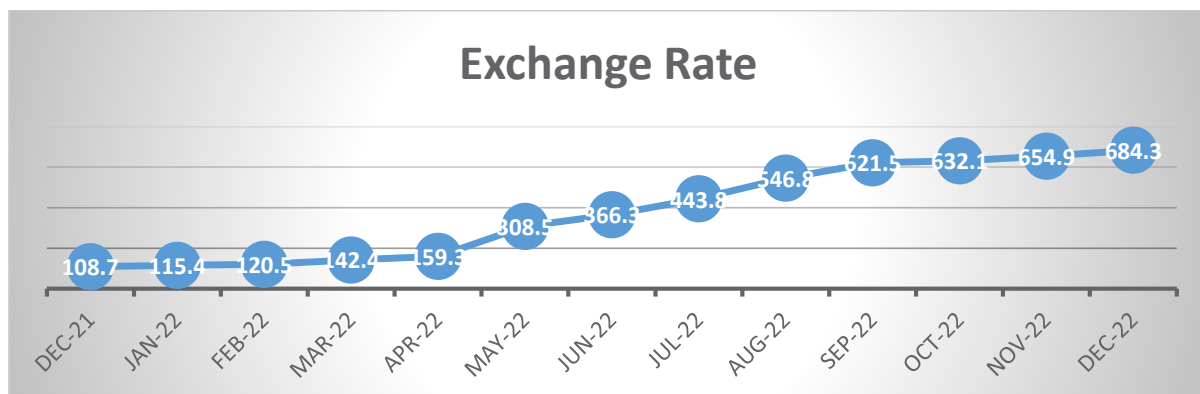
Due to the base effect, global and domestic developments particularly the impact of high inflation and resultant stabilisation measures on credit and demand, the economy was projected to grow by 4% in 2022, a further downward revision from the 4.6% projection (Ministry of Finance, 2022).

In the outlook, the Zimbabwean economy is projected to grow by 3.8% in 2023, compared to the NDS1 target of not less than 5%, on account of the uncertain global economic outlook and potential domestic adverse factors. In the medium term, GDP growth is projected to improve to about 4.8% and 5% in 2024 and 2025 respectively. The insurance and pensions sector like many other sectors in Zimbabwe, continues to operate under the volatile macroeconomic environment.

5.3 Exchange Rate Developments

The Zimbabwean dollar depreciated against the US dollar from an average of US\$1:ZW\$621.5 as at 30 September 2022 to US\$1:ZW\$684.3 as at 31 December 2022. The exchange rate depreciation is caused by high demand for foreign currency as a store of value, as well as forward exchange rate pricing due to high inflation expectations.

Figure 1: Interbank Exchange Rate Dec. 2021 to Dec. 2022 (US\$/ZWL).

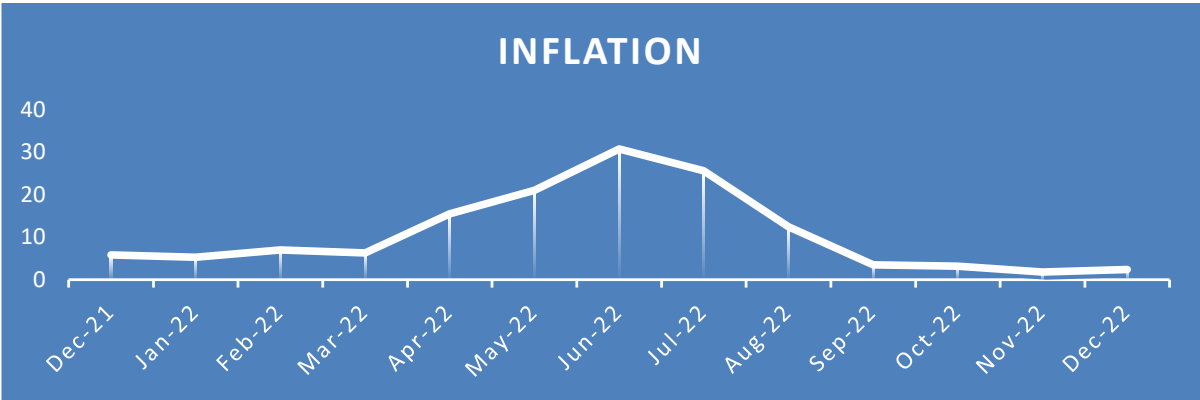


5.4 Inflation Developments

The year-on-year inflation rate slowed down to 243.7% in December 2022, from 280.4% recorded in September 2022, driven. The month-on-month

inflation rate was 1.3% as at 31 December 2022, down from 2.5% recorded as at 30 September 2022 on account of the decrease in food and non-food inflation following the introduction of fiscal and monetary stabilisation measures during the period under review. Figure 2 illustrates the inflation trend from December 2021 to December 2022.

Figure 2: YoY Inflation Profile (%) Dec. 2021 to Dec. 2022



Source: Zimbabwe National Statistics Agency

5.5 Zimbabwe Stock Exchange Performance

The Zimbabwe Stock Exchange (ZSE) traded in the red in the fourth quarter of 2022. As a result, the Top 10 all share, Top15, Medium, and Small Cap Indices all fell due to low trading during the festive season. The Mining Index, on the other hand, increased by 27,30% to close the month of December 2022 at 25487.77 points, up from 20,021.24 points in June 2022.

Owing to the negative trading exhibited on the local bourse, coupled with the de-listing of some counters, the ZSE lost 16.17%, or ZW\$394.30 billion worth of capitalisation to ZW\$2 044.87 billion in December 2022, from ZW\$2 439.17 billion in June 2022.

Victoria Falls Stock Exchange (VFEX) Performance

During the period under review, the Victoria Falls Stock Exchange (VFEX) displayed bearish sentiment. As a result, the VFEX All Share Index fell 17.82% in December 2022, closing at 94.83 points, down from 115,39 points in June 2022. Annually, the VFEX All Share fell 13.55% from 109.69 points in December 2022.

6 Life Assurance Sector Architecture

6.1 As at 31 December 2022, there were 12 registered Life Assurers and four (4) registered Life Reassurers under the supervision of the Insurance and Pensions Commission (IPEC).

6.2 This report is based on 11 out of the 12 direct Life Assurers, and the four Reassurers.

6.3 Life Assurers had 1,342 agents comprising both corporate and Individual life agents as shown in table four (4) below:-

Table 4: Distribution of Life Agents for Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name of Company	Corporate Agents		Sole Agents		Total
	Sep-22	Dec-22	Sep-22	Dec-22	Dec-22
CBZ Life	3	3	35	35	38
Doves Life	0	0	192	192	192
Econet Life	0	0	0	0	0
Evolution Health and Life	0	0	0	0	0
Fidelity Life	0	0	44	45	45
First Mutual Life	0	0	220	220	220
Nhaka Life	1	1	10	10	11
Heritage Life**	0	0	0	0	0
Nyaradzo Life	7	11	319	319	330
Old Mutual Life	13	0	139	149	149
ZB Life	0	0	112	111	111
Zimnat Life	0	0	251	246	246
Total	24	15	1,322	1,327	1,342

****Heritage Life failed to submit its returns for Q4 of 2022**

6.4 As at 31 December 2022, the number of agents for the life assurance sector decreased from 1,378 reported as at 31 December 2021 to 1,342 reported as at 31 December 2022.

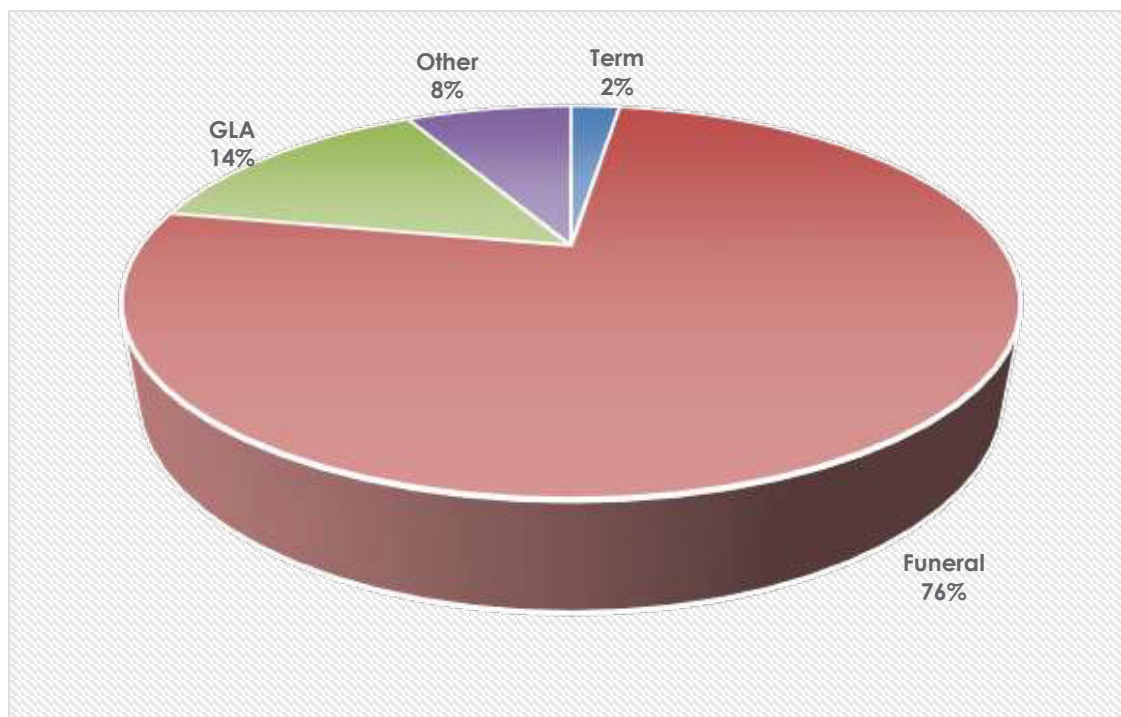
7 Performance in Terms of Gross Premium Written

7.1 During the reporting period, GPW by direct Life Assurers grew by 268% in nominal terms from ZW\$16.5 billion recorded the previous reporting period in 2021 to ZW\$60.8 billion during the current reporting period.

7.2 Based on inflation-adjusted figures, GPW increased by 7% from ZW\$16.5 billion for the year ended 31 December 2021 to ZW\$17.7 billion for the period under review. The positive real growth is attributable to premiums adjustments in response to inflation developments as opposed to new business. Premium adjustments were above the December 2022 year-on-year rate of inflation of 243.8%.

7.3 The main drivers of growth in GPW were the Funeral assurance and Group Life Assurance business, which contributed 90% of the total premium. Figure 3 below shows the distribution of business written by product line.

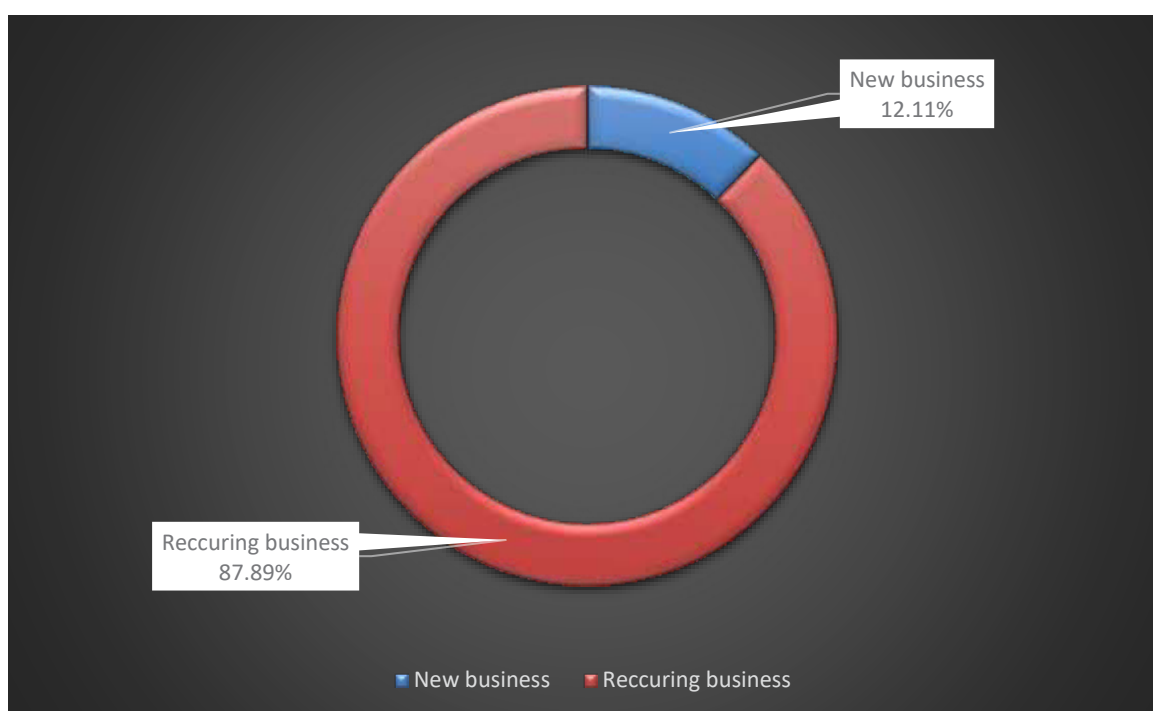
Figure 3: Distribution of Gross Premium Written (GPW) by Product Line



Breakdown by Product

- 7.4 In terms of business composition, 76% of the total GPW was generated from Funeral Assurance business which has become the mainstay of the sector.
- 7.5 Traditional Life Assurance products, which include term assurance, endowment policies, pure endowment and whole life, accounted for a small proportion (10%) of business generated by Life Assurers.
- 7.6 This reflects a low appetite for traditional Life Assurance products by the market as confidence in the sector remains low.
- 7.7 The Commission encourages all Life Assurers to deploy customer centric product development that leverages on modern technology to re-design their products in line with customer expectations in terms of relevance and value preservation.
- 7.8 Recurring business contributed about 88% of the GPW for Life Assurance Sector for the year ended 31 December 2022. Figure four (4) below shows the distribution of business by source.

Figure 4: Business Composition for Life Assurers



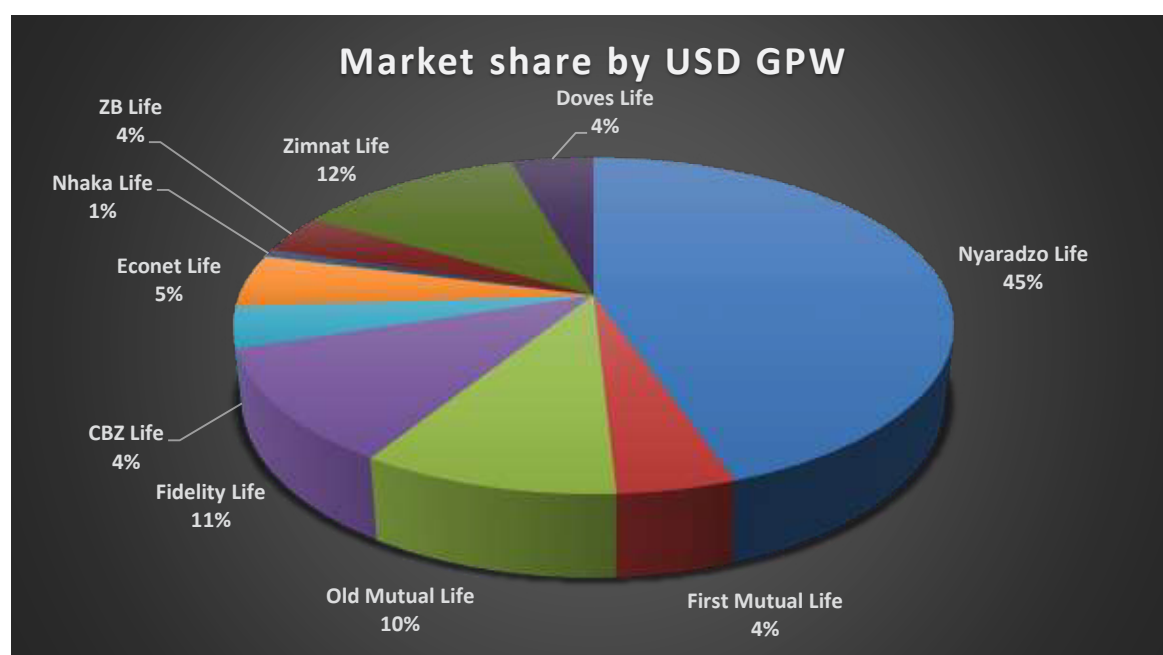
7.9 The low GPW generated from new business reflects the volatile macroeconomic environment that prevailed during the period under review, which limited the uptake of new business due to low disposable incomes. However, there was a slight improvement from the third quarter which ended 30 September 2022, where new business was 10 % of the GPW, reflecting slight improvement in economic stability being witnessed in the economy since June 2022.

Foreign Currency Business

7.10 For the year ended 31 December 2022, the Life Assurance Sector wrote foreign currency business amounting to US\$23.2 million.

7.11 The breakdown of the foreign currency business written by the Life Assurance Sector is shown in figure five (5) below:

Figure 5: Distribution of Foreign Currency Business (GPW)



8 Not Taken Up Policies for the 4th Quarter Ended 31 December 2022

8.1 For the fourth quarter ended 31 December 2022, the Life Assurance Sector reported a total of 114,802 not taken up (NTU) policies with a total nominal gross premium of ZW\$274.9 million (See Table 5 below).

Table 5: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium ZW\$ (000)
ZB	-	-
Old Mutual	184	323,665
Nyaradzo	-	-
Nhaka	6	14,056
Doves	-	-
Zimnat	2,222	15,845,975
Evolution	-	-
Econet	112,355	258,416,500
Evolution	-	-
Fidelity	20	324,550
First Mutual	15	24,910
Total	114,802	274,949,656

Lapsable Policies

8.2 For the year ended 31 December 2022, the sector had a total of 2.1 million lapsable policies. A total of 356,055 policies lapsed during the quarter ended 31 December 2022 translating to a lapse ratio of about 17.3%.

- 8.3 The lapse ratio of 17.3% is greater than the lapse ratio of 10% recorded for the comparative period that ended on 31 December 2021, indicating an increase in lapses.
- 8.4 The increase in lapses indicates that more policyholders are failing to maintain their policies, a situation that may be linked to a volatile economic environment that was experienced during the greater part of 2022.

Table 6: Lapse Ratios for the Year Ended 31 December 2022

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapse Ratio
Fidelity	40,366	688	0	1.70%
Econet	1,057,608	296,156	0.00%	28.00%
CBZ	-	-	-	0.00%
Nyaradzo	-	-	-	0.00%
Zimnat	55,789	4,350	-	7.80%
ZB	15,573	1,248	-	8.01%
Evolution	0	0	-	0.00%
Old Mutual	86,955	3,021	0	3.47%
First Mutual	42,707	3,001	-	7.03%
Doves	126,798	4,061	-	9.09%
Nhaka	656	292	-	44.51%
Total	2,056,782	344,235	11,820	17.31%

***Heritage Life failed to submit its returns*

9 Capitalisation

- 9.1 As at 31 December 2022, all the 11 Life Assurers, reported capital positions that were compliant with the existing MCR of ZW\$75 million.
- 9.2 ZICARP, a risk-based solvency assessment became effective 1 January 2023. To minimise the need for regular reviews of Absolute Minimum Capital Requirements (AMCR) under the ZICARP framework are being indexed to the USD. Entities are required to prepare for the new USD-Indexed AMCR as the industry transitions to the risk-based capital regime to avoid unnecessary last-minute challenges.
- 9.3 An adequately capitalised Life Assurance sector is crucial for policyholder protection.
- 9.4 Adequate capital also helps to increase policyholder confidence within the insurance industry as business is based on the going concern concept.

Table 7: Trends in the Capital Positions for Life Assurance Companies

Company	Capital Position Trend ZW\$ (000)	
	2022 Q3	2022 Q4
CBZ	3,035,807	2,206,566
Doves	3,592,371	4,383,639
Econet	4,829,391	3,724,832
Evolution	327,998	317,903
Fidelity	728,710	4,831,503
First Mutual	12,783,791	13,361,738
Nhaka	664,890	720,270
Nyaradzo	12,068,248	14,772,381
Old Mutual	54,029,411	65,791,054
ZB	5,694,466	11,145,716
Zimnat	2,976,087	5,799,565
Total	100,731,170	127,055,169

9.5 Entities are required to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and to submit ZICARP Framework dry runs.

10 Asset quality

10.1 As at 31 December 2022, the life assurance sector reported total assets amounting to ZW\$274.8 billion in nominal terms, representing an increase of 28% from ZW\$214.6 billion as at 30 September 2022.

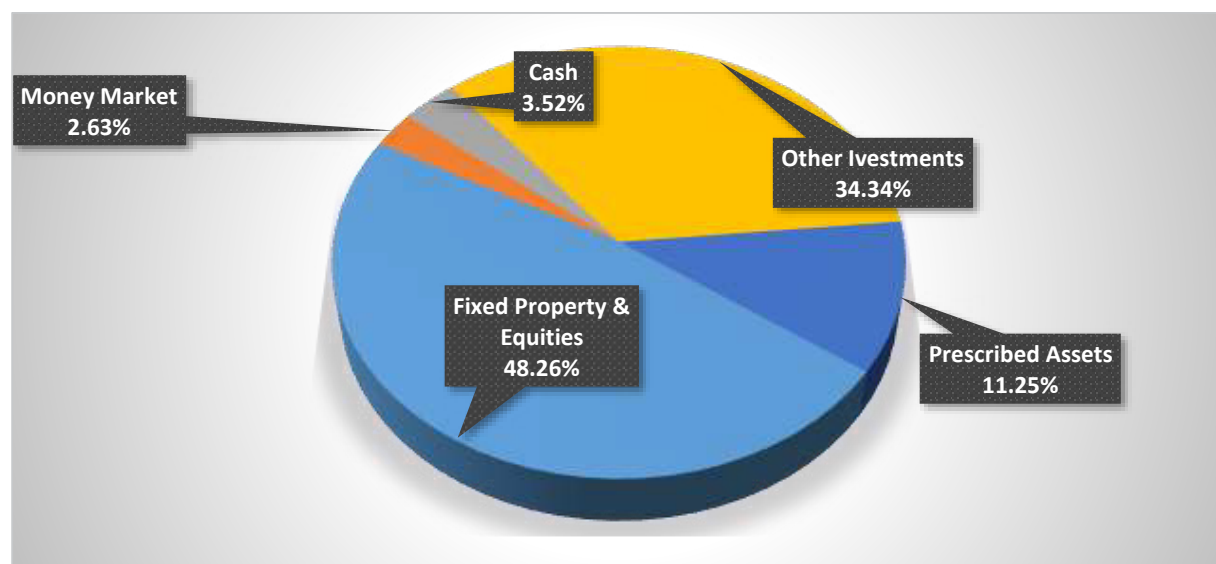
10.2 The nominal growth in the sector's assets was mainly driven by property investment revaluations in line with inflation.

10.3 Fixed Properties and Equities constituted 48.3% of total assets for Life Assurers, a reflection of the general long-term nature of liabilities for the sector.

10.4 Life Assurance Sector entities are expected to invest in assets that match their liabilities in terms of nature, term and currency.

10.5 Figure 6 below, shows the asset breakdown for the Life Assurance Sector as at 31 December 2022.

Figure 6: Assets Breakdown as at 31 December 2022



**Other investments include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

- 10.6 For the period under review, the total investments in prescribed assets by the Life Assurance Sector amounted to ZW\$26.6 billion translating to a sector compliance level of 11.5%.
- 10.7 Three out of the eleven life assurers were compliant with the minimum prescribed asset ratio of 15% of adjusted assets.
- 10.8 Nhaka, Fidelity and Econet Life Assurance companies reported 61.8%, 16% and 16.7% of prescribed asset investments, respectively.
- 10.9 With the introduction of Gold Coins among other financial instruments which have been accorded Prescribed Asset Status, the Commission expects compliance ratios to improve. The Commission is constantly monitoring the uptake of prescribed assets through the submission of monthly updates by players.
- 10.10 Prescribed Assets investments are an important resource mobilisation tool for funding projects of national importance for socio-economic development.
- 10.11 The Commission encourages Life Assurance entities to invest in value preserving projects which have been accorded prescribed asset status as a way of ensuring both compliance and policyholder value preservation.

11 Reassurance

- 11.1 Of the ZW\$60.8 billion GPW written by direct Life Assurers during the period under review, only ZW\$1.7 billion was ceded, translating to a reinsurance ratio of 2.86%.
- 11.2 The reinsurance ratio for the Life Assurance Sector remains low. The Commission, therefore, calls for sector players to fully embrace reinsurance as a risk management tool that helps to protect their balance sheets.
- 11.3 Reinsurance is also important in cushioning the balance sheet during periods of high claims experience.

12 Earnings

- 12.1 In nominal terms, total profit after tax for Life Assurers decreased by 969% from ZW\$31.7 billion for the year ended 31 December 2021 to a negative ZW\$276.6 billion for the current reporting period mainly due to huge transfers to liability provisions.
- 12.2 The combined ratio for the Life Assurance Sector decreased from 130% for the year ended 31 December 2021 to 77% for the comparable period in 2022, indicating an increase in the underwriting margin.
- 12.3 This position is after adjusting for transfer to reserves, which were very significant in the period under review.

13 Liquidity

- 13.1 As at 31 December 2022 the Life Assurance Sector reported a total of ZW\$40.5 billion in current assets compared to ZW\$26.5 billion in the same period last year.
- 13.2 Current liabilities amounted to ZW\$141.6 billion, translating to negative working capital of ZW\$101.1 billion, for the period under review.
- 13.3 The Life Assurance Sector's average current ratio was 28.6% as at 31 December 2022, showing insufficient liquidity to cover short-term contractual obligations as they fall due.
- 13.4 Liquidity is important for sector entities as it helps to ensure smooth daily operations, therefore sector players should strive to always maintain adequate liquidity.



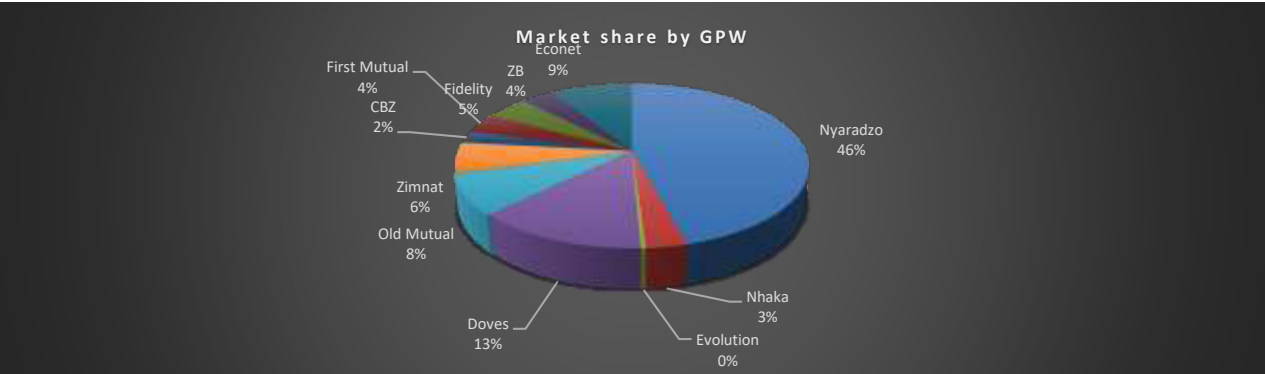
14 Market Share

14.1 For the period ended 31 December 2022, Nyaradzo Life Assurance Company, dominated the Sector with a market share of 45.8% in terms of GPW, with the other entities sharing the balance.

14.2 The market leaders in terms of GPW, are entities whose main business portfolio is Funeral Assurance, highlighting the dominance of the funeral assurance business in the life assurance sector.

14.3 Figure 7 below shows the market share distribution for the Life Assurance Sector in terms of GPW:

Figure 7: Market Share in terms of GPW

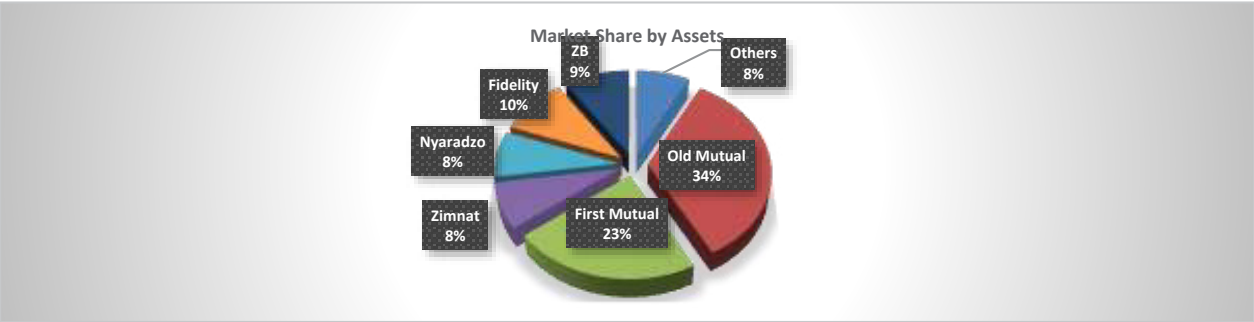


**Heritage Life did not submit the returns for the quarter*

14.4 In terms of assets distribution, two players, Old Mutual and First Mutual Life, continued to dominate the Sector with a combined share of 57% of total sector assets with the other entities sharing the remaining 43%.

14.5 Figure 8 below shows the distribution of assets by entity.

Figure 8: Distribution of Assets by Life Assurance Players



**Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life.*

**Heritage Life did not submit the returns for the half year.*

15 Nature of the Reassurance Business

15.1 While all Life Reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to their Life Assurance business, except for their capital positions, which comprise both life and non-life positions.

15.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

15.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of the Common Market for Eastern and Southern Africa (COMESA) and writes business in all COMESA Member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

16 Performance in terms of Business Written

16.1 The volume of Life Reassurance business written, in terms of GPW, increased by 285% in nominal terms from ZW\$589.2 million reported for the period ended 31 December 2021 to ZW\$2.3 billion for the period that ended 31 December 2022 (See Table 8 below):

Table 8: Breakdown of GPW for Reassurers

Company Name	Q4 2022 Total Premium (000)	Q4 2021 Total Premium (000)	2022 Q4 (Inflation adjusted ZWL\$000)	Real Growth after inflation adjustment	Nominal Growth (%)
First Mutual Reinsurance	158,013	37,634	45,961	22%	320%
FBC Reinsurance	624,799	113,609	181,733	60%	450%
Emeritus Reinsurance	1,165,875	375,205	339,114	-10%	211%
ZEP RE-Insurance	322,438	62,703	93,787	50%	414%
Total	2,271,125	589,151	660,595	12%	285%

16.2 The growth was attributable to upward reviews of premiums in response to rising inflation.

16.3 After adjusting for inflation, the sector experienced an increase of 12% to inflation adjusted GPW of ZW\$660.6 million. This indicates that the growth in premiums was above growth in inflation on a year-on-year basis.

16.4 Life Reassurance companies reported Foreign Currency business amounting to US\$2.5 million for the period ended 31 December 2022.

17 Capitalisation

17.1 As at 31 December 2022, all four Composite Reassurers were compliant with the minimum capital requirement (MCR) of ZW\$112.5 million based on their unaudited returns (see Table 9 below).

17.2 Adequate capitalisation is crucial for the resilience and protection of the underlying policyholders' contracts with direct Life Assurers.

17.3 All entities are required to continuously carry out their capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZICARP Framework.

Table 9: Trend in the Capital Position for Composite Reassurers

Company Name	Capital (Net Assets) Dec 2022 (ZW\$ 000)	Capital (Net Assets) Sept 2022 (ZW\$ 000)
First Mutual Reinsurance	418,318	235,385
Emeritus Reinsurance	3,569,904	3,007,025
FBC Reinsurance	502,290	274,854
ZEP Re-insurance	959,192	872,420
Totals	5,449,705	4,389,684

**Please note, the capital positions above comprise both life and non-life reinsurance business (Composite Reassurance Business).*

18 Asset Quality

18.1 Total assets for life reassurers increased by 23.5% from ZW\$8.5 billion as at September 2022 to ZW\$10.53 billion as at December 2022.

18.2 The growth in total assets was mainly due to significant fair value adjustments and revaluations of assets.

18.3 Other investments constituted 44.4% of the total assets, while fixed property constituted 32.35%.

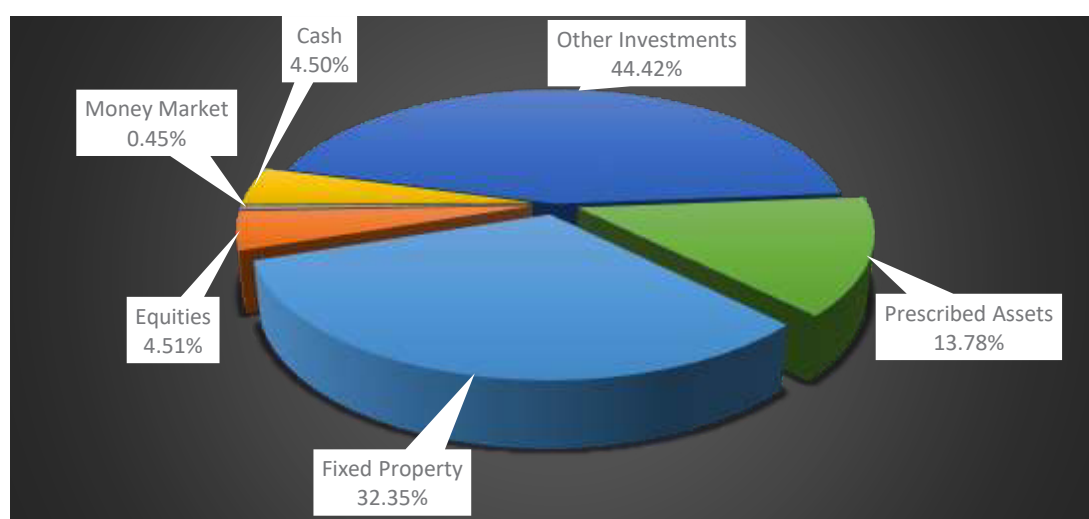
18.4 Liquid assets such as money market instruments and cash, constituted only 5% of the total assets.

18.5 The Sector players are supposed to hold adequate liquidity for settling claims, given that the sector mainly writes short-term insurance contracts, covering the risk of life assurance companies.

18.6 However, more investments in long-term assets reflect sound management decisions in preserving value for policyholders amid the unfavourable investment performance from money markets in the obtaining inflationary environment.

18.7 Given the hyperinflationary environment, sector players should be prudent by investing in value-preserving assets to protect policyholders.

Figure 9: Life Reassurers' Total Assets



**Other investments below include plant and equipment, deferred tax assets, deferred acquisition costs, and unquoted shares.*

Prescribed Assets

18.8 Total investments in prescribed assets by the Life Reassurance Sector amounted to ZW\$1.2 billion, translating to an average compliance level of 10.98% of the industry players.

18.9 As at 31 December 2022, one (1) out of the four (4) Life Reassurers was compliant with the minimum prescribed asset threshold of 15% of total adjusted assets.

18.10 The introduction of Gold Coins, which have been accorded Prescribed Asset Status will likely improve compliance for the remaining 3 players.

18.11 Prescribed asset investments are an important resource mobilisation tool for funding national infrastructure projects.

18.12 The Commission requires the two (2) non-compliant Life Reassurers to follow their compliance plans to achieve compliance.

Table 10: Prescribed Assets Ratios for Reassurance Sector Players.

Reinsurer	Prescribed asset investments ZW\$ (000)	Total assets ZW\$ (000)	Prescribed asset ratio %	Amount ZW\$ (000) required to comply	Variance in compliance%
First Mutual Reinsurance	89,506	525,433	17.03%	-	0.0%
FBC Reinsurance	899,298	2,663,693	13.00%	499,744	-18.8%
Emeritus Reinsurance	0	3,997,751	0.00%	599,663	15.0%
ZEP Re-Insurance	164,200	1,182,847	13.88%	13,227	1.12%
Total	1,153,004	8,369,723,695	10.98%	102,454,549	1.2%

19 Earnings

- 19.1 For the year ended 31 December 2022, the Life Reassurance Sector's profit after tax increased by 250% from ZW\$0.95 billion reported for the period ended 31 December 2021, to ZW\$3.33 billion.
- 19.2 After adjusting for inflation, profit after tax for Life Reassurers increased by 1.8% % to ZW\$0.97 billion for the year ended 31 December 2022.
- 19.3 The increase in profit after tax is mainly attributed to significant increases in fair value gains from price adjustments in assets.
- 19.4 In terms of underwriting profits, the Reassurance Sector recorded a profit of ZW\$510.4 million. The underwriting profit was mainly driven by high premium income, and a reduction in claims and commission costs.
- 19.5 The Life Reassurance Sector had a combined ratio of 74% for the year ended 31 December 2022.
- 19.6 The Commission encourages the sector to employ prudent cost-cutting measures and widen their premium income streams, to continue improving their combined ratios.

20 Liquidity

- 20.1 As at 31 December 2022, the Life Reassurance Sector reported current assets amounting to ZW\$7.2 billion.
- 20.2 Current liabilities amounted to ZW\$5 billion, translating to working capital of ZW\$2.2 billion as at 31 December 2022.
- 20.3 The Life Reassurance Sector's average current ratio was 143% as at 31 December 2022, showing sufficient liquidity to cover short-term contractual obligations as they fall due.
- 20.4 Though liquidity for the Sector has significantly increased, it is imperative for the sector to continue holding enough current assets to cover its current liabilities.

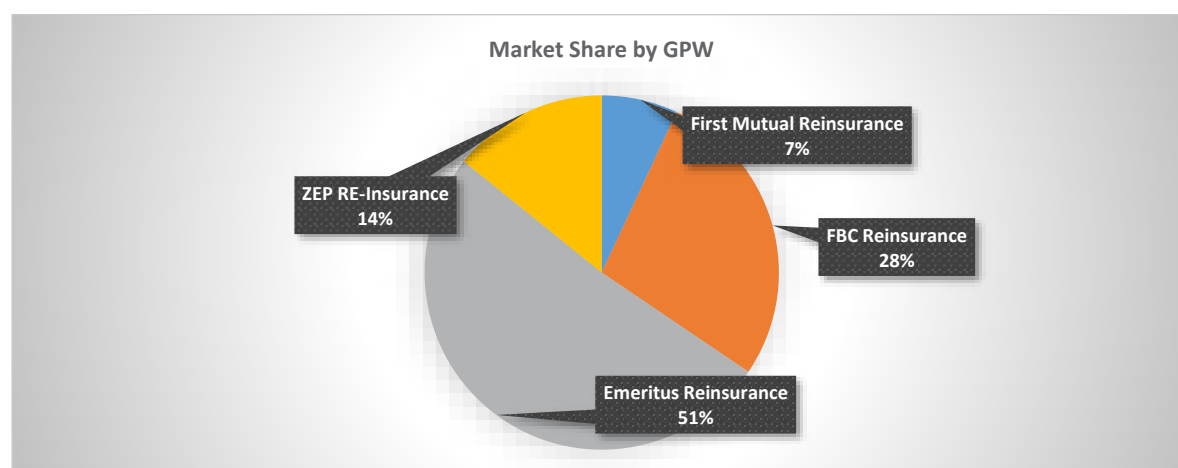
21 Market Share

Market Share in Terms of GPW

21.1 GPW for the Life Reassurance Sector remains concentrated in one player, Emeritus Re, controlling a market share of 51% while the remaining three entities controlled the remaining 49%.

21.2 The breakdown of the market share of Sector players in terms of GPW is shown in Figure 10 below:

Figure 10: Market Share by Gross Premium Written

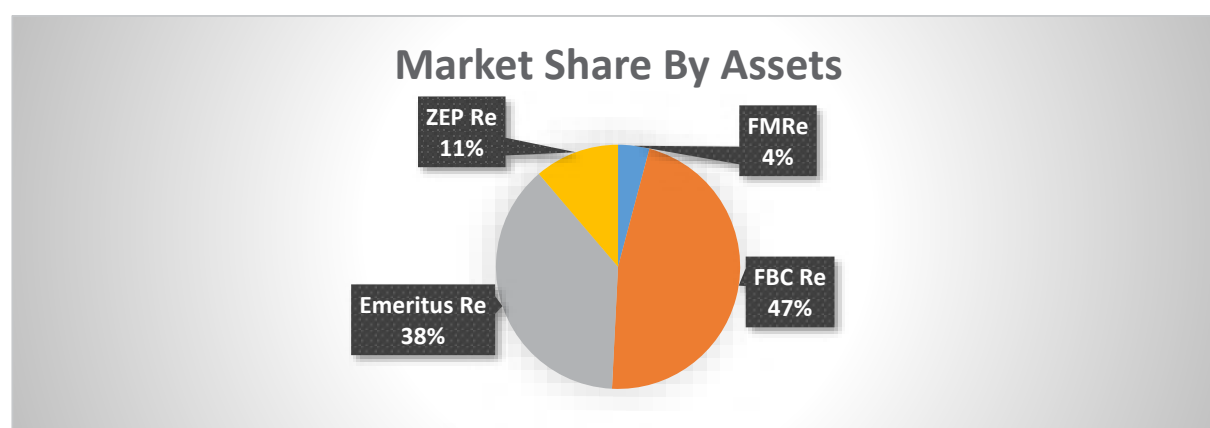


Market Share in terms of Total Assets

21.3 In terms of total assets, one player, FBC Re, controlled 47% of the total assets, while the remaining three players controlled 53% of the sector's total assets.

21.4 Breakdown of sector's assets by players, is shown in Figure 11 below.

Figure 11: Market Share Distribution in Terms of Total Assets



22 Complaints

22.1 For the year ended 31 December 2022, the Commission received 155 life assurance-related complaints. The major sources of complaints were unsatisfactory service and those related to the commission of inquiry, which constituted 39 percent of the complaints each, while claim repudiation and delay in settlement constituted 10% and 12% respectively.

Table 11: Complaints for the Year Ended 31 December 2022.

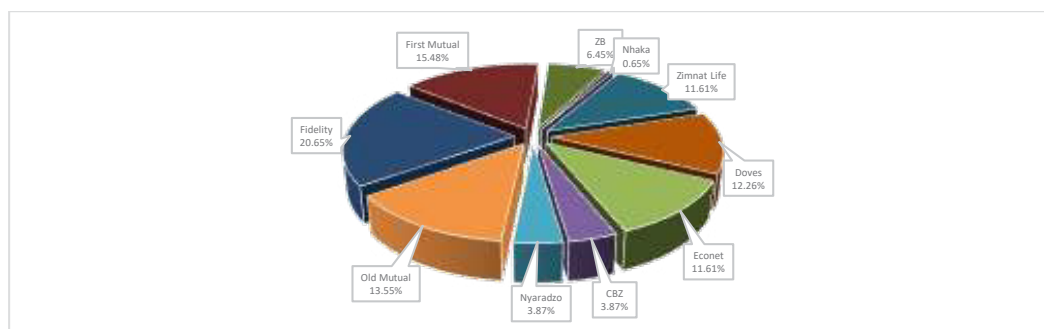
Nature of complaint	Number of complaints	Percentage of total
Delay in settlement	18	12%
Repudiation	15	10%
Commission of Inquiry	61	39%
Not satisfied with service	61	39%
Total	155	100%

22.2 The Commission urges players to put in place robust customer service to ensure that service delivery is at par with the promise, as agreed in the assurance contracts that they would have entered with policyholders. This will go a long way in reducing complaints and ensuring better service provision.

22.3 In terms of distribution of complaints by players, 61.94% percent of the complaints were against 4 entities, with Fidelity Life Assurance having the highest percentage of 20.65%. The remaining 38.06 were against the remaining players.

22.4 The distribution of complaints by players is shown in figure 12 below:

Figure 12: Breakdown of complaints by player



23 Conclusion

23.1 The Commission directs all entities under the Life Assurance Sector to comply with all Regulatory requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis.

23.2 The Sector is also encouraged to be highly innovative in terms of both product development as well as re-alignment of their business models to adapt to the unfolding realities in the market environment.

23.3 The Commission underscores the need for the Life Assurance Sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.



ANNEXURE 1: STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 31 DECEMBER 2022												
	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	Totals
Gross Premium Written	27,802,024,336	1,939,865,487	235,593,274	8,094,467,400	4,862,410,149	3,665,549,291	1,456,649,887	2,384,166,473	2,756,117,737	2,201,735,753	5,359,518,821	60,758,098,608
Outward Reassurance Premium	-	860,176	3,924	-	695,639,410	511,798,481	223,872,595	37,609,458	80,397,756	57,148,954	203,905,639	1,736,017,478
Net Premium Written	27,802,024,336	1,939,005,311	235,589,350	8,094,467,400	4,166,770,739	3,153,750,810	1,232,777,292	2,421,775,931	2,675,719,981	2,144,586,799	5,155,613,181	59,022,081,130
Unearned Premiums	-	15,139,451	418,291	-	121,481,991	338,773,821	61,518,553	-	-	-	95,206,003	632,538,109
Net Earned Premium	27,802,024,336	1,923,865,860	235,171,060	8,094,467,400	4,045,288,748	2,814,976,989	1,171,258,739	2,421,775,931	2,675,719,981	2,144,586,799	5,060,407,178	58,389,543,020
Claims Paid	11,659,060,347	34,871,156	15,803,615	1,651,609,392	1,285,655,120	716,098,450	203,359,316	1,566,982,969	352,383,176	401,939,487	1,902,007,030	19,789,770,057
Claims Outstanding	-	-	-	-	-	-	13,390,186	-	-	42,908,845	21,122,775	8,395,884
Claims Incurred But Not Reported	-	-	8,701,042	-	1,172,367,844	-	32,164,012	-	-	-	195,665,054	1,408,897,952
Change in provision for investment	-	673,472,746	-	-	349,354,470,673	-	-	-	-	-	-	350,027,943,420
Change in provision for insurance	-	-	-	-	5,594,968,691	-	-	-	-	-	94,130	5,594,874,561
Transfer to Policyholder Funds	6,610,882,666	-	-	809,446,740	-	-	-	-	-	9,597,234,923	-	17,017,564,329
Net Claims	18,269,943,013	708,343,902	24,504,657	2,461,056,132	357,407,462,329	716,098,450	248,913,514	1,566,982,969	352,383,176	9,956,265,564	2,118,700,729	393,830,654,435
Management Expenses	3,311,227,823	16,181,656	-	1,377,194,990	429,144,728	1,782,734,109	-	-	-	819,071,025	-	7,735,554,331
Net Fees and Commission Paid	1,613,072,416	26,029,532	59,145,331	500,842,171	44,248,485	488,331,411	150,159,163	136,666,240	185,011,906	421,864,334	1,085,125	3,626,456,116
Underwriting Profit/(Loss)	4,607,781,084	1,173,310,769	151,521,072	3,755,374,107	353,835,566,793	172,186,982	772,186,062	718,126,722	2,138,324,898	(9,052,614,124.35)	2,940,621,324	337,750,507,737
Fair value adjustments (positive)	-	333,307,748	-	26,161,262	37,191,447,190.65	12,402,701,988	3,072,267,431	7,868,791,972	8,680,157,491	3,984,788,537	2,128,623,166	75,688,246,787
Dividend Income	45,018,057	-	-	-	2,380,500,208.29	-	11,208,547	270,495,746	10,813,710	24,377,416	46,490,734	2,788,904,419
Rental Income	17,709,000	-	-	92,721,367	211,742,337.75	44,628,529	19,021,634	-	81,692,734	52,520,173	16,799,137	536,834,911
Other Income	364,461,075	-	-	8,730,955	169,963,023.99	1,374,796,646	200,066,571	-	338,968	34,556,083	492,696,436	2,645,609,758
Other Income2	3,511,901,964	6,177,079	-	-	-	51,304,643	25,184,250	-	10,390,391	23,471,703	25,710,224	3,607,196,847
Other Income3	-	174,315	-	-	-	474,719,282	19,480,847	-	174,137,876	399,567,447	5,934	1,029,124,006
Other Income4	-	40,241,638	-	-	-	-	393,709,803	-	20,136,485	14,626,965,843	311,521,596	14,564,882,790
Other Income5	-	339,351	-	-	-	-	-	-	11,062,794,857	-	-	11,063,134,208
Administrative Expenses	1,888,325,437	521,092,059	39,453,451	1,809,089,796	-	753,246,573	1,249,142,755	3,149,613,913	803,311,185	456,833,809	3,183,638,206	13,853,747,183
Other Expenses1	-	-	35,836,138	-	266,080,409	8,693,471,159	-	-	8,317,499	114,285,111	43,520,788	9,161,511,103
Other Expenses2	-	-	-	-	-	-	-	-	16,693,307,799	-	(1,267,193,478.60)	16,693,307,799
Other Expenses3	-	-	-	-	-	-	-	-	39,265,311	-	-	39,265,311
Other Expenses4	-	-	-	-	-	-	-	-	1,816,531	-	-	1,816,531
Earnings Before Interest and Taxation	6,771,214,257	635,001,741	76,231,483	2,073,897,895	314,147,994,442	4,729,246,375	2,437,601,091	5,707,800,527	4,592,496,115	9,475,570,752	4,002,503,035	273,646,431,171
Interest	759,360,549	-	-	-	-	-	89,646,892	187,144,109	22,316,007	-	32,646,196	1,091,113,752
Interest expense	-	-	-	10,479,097	-	-	898,598,215	-	12,838,870	-	124,395,166	1,046,311,348
Earnings Before Tax	7,530,574,806	635,001,741	76,231,483	2,063,418,798	314,147,994,442	4,729,246,375	1,628,649,768	5,894,944,636	4,601,973,252	9,475,570,752	3,910,754,065	273,601,628,767
Taxation	2,094,272,106	-	-	105,964,843	-	102,699,175	2,293,957	172,184,455	24,897,062	517,618,682	2,331,260	3,022,261,538
Earnings After Tax	5,436,302,700	635,001,741	76,231,483	1,957,453,955	314,147,994,442	4,626,547,200	1,626,355,811	5,722,760,182	4,577,076,190	8,957,952,070	3,908,422,806	276,623,890,305
Other Comprehensive Income	-	-	-	-	-	-	888,846,372	-	-	-	-	888,846,372
Other Comprehensive Income2	-	-	-	-	-	-	159,343,601	-	-	-	-	159,343,601
Other Comprehensive Income3	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) for the Period	5,436,302,700	635,001,741	76,231,483	1,957,453,955	314,147,994,442	4,626,547,200	2,674,545,785	5,722,760,182	4,577,076,190	8,957,952,070	3,908,422,806	275,575,700,331
Total Comprehensive Profit/(Loss)	5,436,302,700	635,001,741	76,231,483	1,957,453,955	314,147,994,442	4,626,547,200	2,674,545,785	5,722,760,182	4,577,076,190	8,957,952,070	3,908,422,806	275,575,700,331

ANNEXURE 2: STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 DECEMBER 2022												
	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	TOTALS
Non-Current Assets												
Intangible Assets	-	50,000,000	-	-	-	24,927,718	-	-	18,403,534	78,364,412	-	171,695,663
Property and Equip	9,677,790,763	73,848,182	3,704,271	657,657,732	1,848,555,664	174,187,825	1,110,174,404	68,542,414	26,444,792	208,937,325	324,232,692	14,174,076,064
Investment Proper	704,342,617	888,900,000	152,945,140	2,727,130,578	11,013,688,258	2,838,300,000	3,426,984,000	-	10,989,521,413	2,633,931,843	466,842,400	35,842,586,248
Investments: Quote	1,114,519,952	-	5,123,523	141,179,792	55,712,259,581	2,308,068,609	836,596,636	8,385,011,602	770,757,729	783,601,829	2,503,717,200	72,560,836,453
Unquoted equities	699,446,819	-	165,715,650	1,925,250	6,194,387,562	12,546,209,768	225,508,187	2,029,341,321	14,661,901,428	2,278,548,702	553,740,898	39,356,725,586
Bonds	-	-	-	6,729,222	86,297,011	636,051,220	-	118,614,459	58,955,220	839,425,825	161,812,606	1,907,885,562
Deferred tax asset	-	-	-	-	-	-	-	-	-	-	-	-
Deferred acquisition	-	-	-	-	-	-	38,748,802	-	-	-	-	38,748,802
Other Non-Current	-	2,129,300,000	14,279,425	-	-	57,765,922	-	265,249,268	-	18,558,457,911	183,471,140	21,208,523,667
Other Non-Current	-	11,156,207	-	-	-	-	-	48,894,824,270	-	2,174,148	270,279	48,908,424,904
Other Non-Current	-	-	-	-	-	41,829,483	-	-	-	45,059,806	-	86,889,289
Total Non-Current Assets	12,196,100,151	3,153,204,389	341,768,009	3,534,622,574	74,855,188,076	18,627,340,544	5,638,012,028	59,761,583,334	26,525,984,116	25,428,501,801	4,206,082,597	234,268,387,618
Current Assets												
Premium Receivable	-	-	-	3,303,276	573,324,186	80,170,561	69,938,399	900,201,058	127,004,729	-	63,691,773	1,817,633,983
Money market investment	185,788,520	-	5,000	-	2,139,330,122	615,013,585	0	-	-	191,808,393	159,027,894	3,290,973,514
Short term Investments	-	5,920,485	-	940,829	-	632,028,394	5,383,152	881,833,790	-	-	-	1,526,106,650
Other receivables	4,103,981,243	10,557,821	-	802,424,095	-	1,453,360,736	-	97,766,232	1,057,527,537	88,638,513	28,870,704	7,447,594,417
Cash and Bank Bal	1,907,307,983	18,567,036	1,244,184	447,908,812	1,473,481,262	459,623,562	514,771,079	344,083,861	342,303,168	24,233,167	605,499,965	5,454,417,744
Other Current Assets	2,199,259,203	115,408,266	6,396,910	854,603,042	1,588,102,887	25,908,002	-	25,883,416	1,756,590	-	95,315,510	4,912,633,826
Other Current Assets	1,310,410,641	140,073,797	-	-	265,636,633	-	3,420,533	318,759,963	-	-	224,127,004	2,262,428,571
Other Current Assets	-	-	-	-	13,713,076,064	-	49,879,554	6,538,282	-	-	1,067,994	13,770,561,894
Total Current Assets	9,706,747,590	290,527,406	7,646,094	2,109,180,054	19,752,951,154	3,266,104,840	643,392,718	2,379,534,138	843,985,688	304,680,073	1,177,600,844	40,482,350,599
Total Assets	21,902,847,741	3,443,731,794	349,414,103	5,643,802,628	94,608,139,230	21,893,445,384	6,281,404,746	62,141,117,472	27,369,969,804	25,733,181,874	5,383,683,442	274,750,738,217
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	-	48,184,029	-	6,861,956	-	170,537,520	-	-	-	-	-	225,583,505
Deferred Taxation	1,635,539,555	-	2,370,593	34,669,020	-	67,143,837	-	270,922,973	-	798,287,782	-	2,808,933,760
Future Policyholder	-	-	254,420	1,434,607,490	-	-	-	384,277,160	-	-	-	1,819,139,070
Short (Current) Liabilities												
Outstanding Claims	-	1,693,394	-	-	480,903,110	308,155,969	24,158,500	-	-	25,058,810	21,122,775	810,974,938
Claims Incurred but not paid	-	6,105,577	12,001,392	-	1,519,064,077	-	52,509,599	-	-	-	257,606,356	1,847,287,002
Paid up policies	-	-	-	-	-	-	-	-	-	-	-	-
Investment contracts	-	2,295,631,302	-	-	17,618,104,142	-	250,000,673	2,758,583,252	6,114,739,370	-	24,652,533	29,061,711,271
Insurance contracts	5,494,926,714	20,042,128	-	-	2,639,339,442	10,344,949	-	43,976,355,421	16,574,071,504	-	60,627,570	68,775,707,727
Additional Unexpired	-	-	-	-	-	-	-	-	-	-	-	-
Recession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-
Life Fund	-	-	-	-	-	13,856,027,088	601,365,283	-	-	12,759,550,600	-	27,216,942,970
Unearned Premium	-	34,228,096	1,017,286	-	184,688,068	58,900,154	168,526,538	-	-	-	159,889,857	607,250,000
Amounts Due To Reinsurers	-	561,153	-	-	-	-	16,554,212	-	-	6,208,859	26,427,025	49,751,249
Other Short Term Liabilities												
Other Liabilities1	-	44,843,270	6,021,043	18,440,525	2,908,150,129	94,115,826	89,457,388	184,353,059	-	152,801,345	507,494,857	4,005,677,442
Other Liabilities2	-	128,844,774	9,846,384	234,415,283	94,952,338	1,516,398,710	186,674,160	254,488,235	13,821,826	895,676,008	530,928,175	3,397,215,327
Other Liabilities3	-	16,483,276	-	-	1,393,246,970	12,255,880	1,418,685,220	47,433,435	164,898,935	-	53,017,901	2,776,223,747
Other Liabilities4	-	126,844,774	-	-	-	-	-	267,378,164	733,473	-	16,076,355	411,032,766
Other Liabilities5	-	-	-	-	120,484,119	-	-	578,367,029	-	-	-	698,851,148
Other Liabilities6	-	-	-	-	901,650,002	-	-	5,041,870	-	-	1,008,076	907,699,948
Other Liabilities7	-	-	-	-	956,502,392	-	-	52,178,425	-	-	-	1,008,680,817
Total Liabilities	7,130,466,269	2,723,461,772	31,511,117	1,260,163,708	28,817,084,790	16,093,879,934	2,807,931,574	48,779,379,022	22,538,467,237	14,587,465,784	1,658,851,480	146,428,662,686
SHARE CAPITAL AND RESERVES												
Share Capital	400,000	22,444	38	1,000,000	131,844	200,000	2	7,308	1,089,233	231,908	100	3,082,877
Share Premium	-	38,671,533	2,435,318	-	29,990,000	450,000	1,388,012	41,379,892	671,409	4,431,623	5,685,251	125,103,038
Investment Reserves	-	-	-	-	-	-	-	-	-	9,217,529	-	9,217,529
Revaluation Reserves	6,347,015,677	-	-	3,701,303	-	15,186	1,118,859,005	-	621,612,632	201,134,609	254,555,921	8,546,894,333
Non Distributable Reserves	2,987,807,072	-	-	-	33,764,276	2,463,511	-	-	-	-	-	3,024,034,860
Retained Earnings -	1,694,891,738	46,574,311	239,236,147	2,421,483,662	30,638,645,715	1,169,889,553	557,595,592	13,318,337,203	4,080,083,662	1,944,697,066	1,556,167,885	54,277,819,058
Retained Earnings -	5,436,302,699	635,001,734	76,231,483	1,957,453,955	35,088,522,605	4,626,547,200	1,625,838,598	-	8,957,952,070	3,908,422,806	-	62,312,273,149
Other1	1,695,747,761	-	-	-	-	-	169,791,963	2,014,047	10,037	28,051,287	2,000,000,000	104,404,980
Other2	-	-	-	-	-	-	-	-	128,055,666	-	-	128,055,666
SHAREHOLDERS' EQUITY	14,772,381,472	720,270,022	317,902,986	4,383,638,920	65,791,054,440	5,799,565,450	3,473,473,173	13,361,738,450	4,831,502,564	11,145,716,090	3,724,831,962	128,322,075,529
TOTAL EQUITY & LIABILITIES	21,902,847,741	3,443,731,794	349,414,103	5,643,802,628	94,608,139,230	21,893,445,384	6,281,404,746	62,141,117,472	27,369,969,804	25,733,181,874	5,383,683,442	274,750,738,217

ANNEXURE 3 STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 DECEMBER 2022					
Item	First Mutual Reinsurance	FBC Reinsurance	Emeritus Reinsurance	ZEP RE Insurance	Totals
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property and Equipment	978,693	117,345,940	141,066	-	118,465,699
Investment Property	-	59,553	2,589,368,362	-	2,589,427,915
Investments: Quoted equities	319,400,140	57,928,156	-	-	377,328,296
Unquoted equities	-	-	-	-	-
Bonds	-	-	-	164,199,728	164,199,728
Deferred tax asset	-	-	99,833	-	99,833
Deferred acquisition costs	-	-	-	22,488,090	22,488,090
Other Non-Current Assets1	-	-	36,511,000	-	36,511,000
Other Non-Current Assets2	-	-	-	-	-
Other Non-Current Assets3	-	-	-	-	-
Total Non-Current Assets	320,378,832	175,333,649	2,626,120,262	186,687,817	3,308,520,561
Current Assets				-	
Premium Receivable	16,905,750	-	-	-	16,905,750
Money market investments	9,272,559	28,000,000	-	-	37,272,559
Short term Investments	-	2,362,589,440	619,729,258	-	2,982,318,698
Other receivables	45,589,978	884,455,577	354,962,504	996,158,961	2,281,167,020
Cash and Bank Balances	43,779,639	298,101,770	34,646,412	-	376,527,821
Other Current Assets1	-	-	362,292,783	-	362,292,783
Other Current Assets2	-	649,216,533	-	-	649,216,533
Other Current Assets3	-	514,144,033.00	-	-	514,144,033.00
Total Current Assets	115,547,926	4,736,507,353	1,371,630,956	996,158,961	7,219,845,196
Total Assets	435,926,758	4,911,841,002	3,997,751,218	1,182,846,779	10,528,365,757
Liabilities					
Long (Non-Current) Liabilities					-
Long Term Loans	-	-	-	-	-
Deferred Taxation	-	36,097,489	-	-	36,097,489
Short (Current) Liabilities				-	-
Outstanding Claims	8,100,000	-	33,476,002	3,564,710	45,140,712
Claims Incurred but not Reported	2,095,628	-	100,013,117	130,294,213	232,402,958
Investment contract liabilities	-	-	-	-	-
Insurance contract liabilities	4,670	-	-	-	4,670
Additional Unexpired Risk Reserve	-	-	-	-	-
Retrocession Arrangements	7,202,890	-	32,930,336	-	40,133,226
Life Fund	-	-	255,766,000	-	255,766,000
Unearned Premium Reserve	-	1,586,240,521	-	89,795,911	1,676,036,432
Amounts Due To Reinsurers	-	-	-	-	-
Other Liabilities1	204,868	1,812,871,426	993,240	-	1,814,069,535
Other Liabilities2	418	359,804,670	4,668,471	-	364,473,558
Other Liabilities3	-	614,536,541	-	-	614,536,541
Other Liabilities4	-	-	-	-	-
Other Liabilities5	-	-	-	-	-
Other Liabilities6	-	-	-	-	-
Other Liabilities7	-	-	-	-	-
Total Liabilities	17,608,474	4,409,550,647	427,847,167	223,654,834	5,078,661,121
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	-	1,388,427
Share Premium	2,288,295	42,703,332	6,281,124	-	51,272,751
Revaluation Reserve	-	54,551,586	-	717,616,675	772,168,261
Non Distributable Reserve	-	37,351	-	-	37,351
Retained Earnings - Prior years	165,872,098	53,660,149	960,831,769	116,070,138	1,296,434,154
Retained Earnings - Current year	250,157,191	350,437,937	2,602,303,432	125,505,132	3,328,403,692
Minority Interest	-	-	-	-	-
Other1	-	-	-	-	-
Other3	-	-	-	-	-
Other4	-	-	-	-	-
Other5	-	-	-	-	-
Other6	-	-	-	-	-
Other7	-	-	-	-	-
SHAREHOLDERS EQUITY	418,318,284	502,290,355	3,569,904,052	959,191,945	5,449,704,636
TOTAL EQUITY & LIABILITIES	435,926,758	4,911,841,002	3,997,751,218	1,182,846,779	10,528,365,757

ANNEXURE 4 STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER EDNDED 31 DECEMBER 2022					
	First_Mutual_Reinsurance	FBC_Reinsurance	Emeritus_Reinsurance	ZEP_RE-Insurance	Totals
Gross Premium Written	158,012,928	624,798,532	1,165,875,290	322,437,990	2,271,124,740
Outward Reassurance Premium	35,289,390	114,000,109	165,744,116	18,692,986	333,726,602
Net Premium Written	122,723,537	510,798,423	1,000,131,174	303,745,003	1,937,398,138
Unearned Premiums	-	-	-	7,778,762	7,778,762
Net Earned Premium	122,723,537	510,798,423	1,000,131,174	311,523,765	1,945,176,899
Claims Paid	16,539,094	48,824,367	331,604,637	80,201,583	477,169,681
Claims Outstanding	-	-	-	474,986	474,986
Claims Incurred But Not Reported	-	-	100,013,117	14,490,547	114,503,664
Change in provision for insurance	- 396,512	-	105,467,001	-	105,070,489
Net Claims	16,142,582	48,824,367	537,084,755	95,167,115	697,218,820
Management Expenses	10,984,813	4,010,097	277,382,879	25,401,738	317,779,528
Net Fees and Commission Paid	20,755,969	93,633,989	231,343,156	74,042,961	419,776,074
Underwriting Profit/(Loss)	74,840,174	364,329,969	- 45,679,616	116,911,951	510,402,478
Fair value adjustments (positive)	-	57,928,156	-	-	57,928,156
Dividend income	-	-	-	-	-
Other Income	8,518,224	-	3,813,364	-	12,331,588
Other Income2	166,798,793	-	207,939,006	-	374,737,799
Other Income3	-	-	2,332,059,181	-	2,332,059,181
Administrative Expenses	-	4,010,097	-	-	4,010,097
Earnings Before Interest and Taxation	250,157,191	418,248,028	2,602,211,742	116,911,951	3,387,528,912
Interest	-	254,189	-	8,593,181	8,847,370
Earnings Before Tax	250,157,191	418,502,217	2,602,211,742	125,505,132	3,396,376,282
Taxation	-	68,064,280	- 91,690	-	67,972,590
Earnings After Tax	250,157,191	350,437,937	2,602,303,432	125,505,132	3,328,403,692
Total Comprehensive Profit/(Loss) for the Pe	250,157,191	350,437,937	2,602,303,432	125,505,132	3,328,403,692
Total Comprehensive Profit/(Loss)	250,157,191	350,437,937	2,602,303,432	125,505,132	3,328,403,692

